



DQ Dairy-Free VALUE CURVE CASE STUDY

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Executive Summary (Natalia)

This report evaluates Dairy Queen's strategic opportunity to enter the non-dairy frozen dessert market using Value Curve and Kano Model analysis. Drawing on survey responses from Millennial and Gen Z consumers in urban U.S. markets, the study identifies the competitive attributes most strongly linked to customer satisfaction and differentiation. Findings suggest Dairy Queen holds a strong affordability and flavor-positioning advantage but faces a critical customization gap that must be addressed to compete effectively in the category.

Key Challenges

- The frozen dessert industry is experiencing a gradual long-term decline as consumer preferences shift toward healthier, plant-based alternatives, increasing pressure on Dairy Queen to diversify its product portfolio.
- Failure to adapt to changing dietary preferences (e.g., non-dairy and health-conscious consumption) risks weakening long-term competitiveness in both quick-service and premium segments.
- Competing effectively requires understanding how key product attributes influence satisfaction among Millennial and Gen Z consumers in urban U.S. markets, where expectations for inclusivity and innovation are rising.

Recommendations

- Introduce a non-dairy frozen dessert line to align with shifting plant-based demand and support long-term portfolio diversification.
- Use Value Curve and Kano insights to guide product design and prioritization decisions.
- Prioritize investment in "Must-Have" and "Delighter" attributes (especially customization, flavor variety, and loyalty rewards) based on Kano Model insights.
- Steer away from heavy investment in certification labels (e.g., vegan or organic certifications), as these "So-What" attributes provide limited incremental value to customer satisfaction and do not justify significant resource allocation.
- Tailor the non-dairy strategy specifically to Millennial and Gen Z consumers in urban markets, where adoption and brand impact are likely to be strongest.

- Position Dairy Queen's competitive strategy around maintaining accessibility while evolving toward more inclusive and differentiated dessert offerings.
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Findings (Liz & Naveen)

This section presents primary market research findings evaluating Dairy Queen's competitive positioning and consumer preferences for its proposed non-dairy frozen dessert line. Two frameworks were applied: a Value Curve Analysis benchmarking DQ against key competitors across nine product attributes, and a Kano Model Analysis classifying how those attributes influence customer satisfaction. Together, the analyses reveal a brand that is well-positioned on the attributes consumers value most, with one actionable gap that carries outsized strategic risk. Research focused on Millennial and Gen Z consumers in urban U.S. markets.

The value curve, drawn from the Blue Ocean Strategy framework, maps relative performance across competitive factors to identify opportunities for differentiation. Dairy Queen is evaluated against two archetypes: quick-service ice cream chains, competing on convenience and accessibility, and premium artisan ice cream shops, competing on quality credentials and experience.

Two Forms of Competition

- Quick-Service Ice Cream Chains: Compete on price and accessibility. High footprint, drive-thru enabled, and volume-oriented. Represent DQ's most direct structural peer.
- Premium Artisan Ice Cream Shops: Compete on quality credentials and experience. Higher price points, limited locations, and experience-led. Represent the aspirational benchmark for health-conscious consumers.

Value Curve Analysis

- The value curve maps relative performance across nine competitive factors to identify opportunities for differentiation. Dairy Queen is evaluated against two archetypes: quick-service ice cream chains (competing on convenience and accessibility) and premium artisan ice cream shops (competing on quality credentials and experience).

Table 1: Value Curve Benchmarking

Competitive Attribute	Quick-Service	Premium Shop	Dairy Queen
Affordable Price	4	2	5
High Convenience + Drive-Thru	5	2	4
Social Cause Alignment	0	3	4
Flavor Variety	4	3	5
Certification Credibility	2	4	0
Trend-Forward Flavors	1	3	4
Non-Dairy Milk Variety	1	1	5
Loyalty Program	3	2	5
Ice Cream Customization	4	2	1

Performance scores reflect survey-based assessment and team benchmarking. Scale: 0 = no meaningful performance, 5 = category-leading performance.

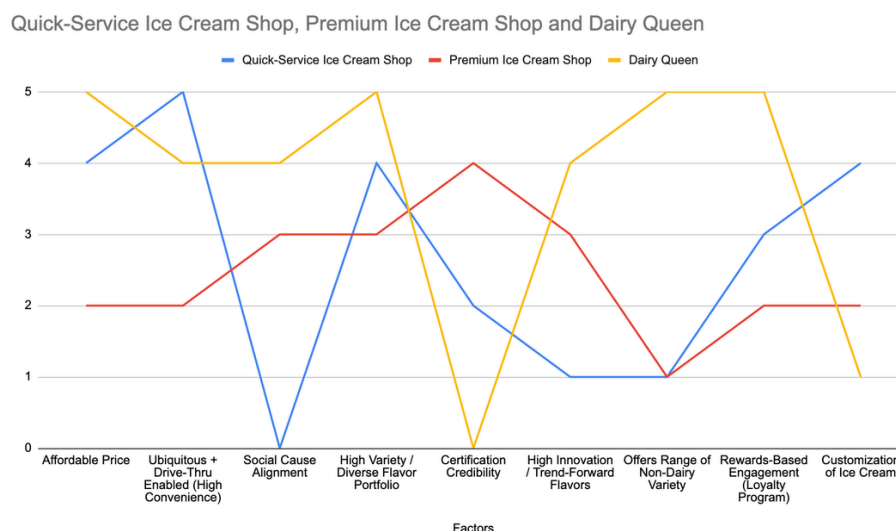


Figure 1: Status Quo Value Curve - Quick-Service Ice Cream Shop, Premium Artisan Ice Cream Shop, and Dairy Queen (Current) across nine competitive factors

Areas of Strength

Dairy Queen performs strongly across the majority of dimensions evaluated. Most notably, DQ holds a structurally unusual competitive position as it outperforms quick-service competitors on premium attributes such as social cause alignment, flavor variety, and loyalty rewards, while simultaneously maintaining the strongest price position in the set. This combination is difficult for either competitor type to replicate and represents the core of DQ's value proposition in the non-dairy segment.

DQ's high scores on flavor variety and non-dairy milk base variety are further reinforced by the Kano analysis, which classifies both as Delighters, features that generate outsized positive consumer reactions when executed well. The loyalty rewards program carries the same classification, positioning

DQ to drive repeat engagement among consumers who approach non-dairy dessert as a considered, values-aligned purchase.

Competitive Gaps

Two gaps stand out. DQ scores lowest on certification credibility while premium competitors perform significantly stronger. Certifications such as vegan or organic labels can reinforce trust among health- and values-conscious consumers in the target segment. However, the Kano analysis classified certification as So-What, suggesting it functions as a niche differentiator rather than a broad satisfaction driver and limiting its strategic urgency.

More significant is DQ's low score on customization. This gap is elevated in severity because customization emerged as a Must-Have attribute in the Kano analysis, which is a baseline consumer expectation whose absence generates active dissatisfaction. Unlike a Delighter gap, which represents a missed opportunity, a Must-Have gap represents a foundational weakness that may reduce overall customer satisfaction if left unaddressed.

The Kano Model classifies product attributes into four categories based on their relationship to customer satisfaction: Must-Have, Linear, Delighter, and So-What (Indifferent). Respondents completed paired functional and dysfunctional survey questions for each of the nine attributes, and final classifications were determined using the standard Kano evaluation matrix. Aggregate results are presented in Table 2.

Table 2: Kano Results

Feature	D	L	M	S	Category	Result
Affordable Price	1	4	0	0	Linear	L
High Convenience + Drive-Thru	0	1	2	1	Must-Have	M
Social Cause Alignment	2	0	1	2	Delighter	D
Flavor Variety	3	2	0	0	Delighter	D
Certification Credibility	2	0	0	3	So-What	S
Trend-Forward Flavors	3	0	1	1	Delighter	D
Non-Dairy Milk Variety	2	0	0	1	Delighter	D
Loyalty Program	3	1	1	0	Delighter	D
Ice Cream Customization	0	2	3	0	Must-Have	M

D = Delighter, L = Linear, M = Must-Have, S = So-What. Five respondents; findings are directional.

Mapping Kano classifications against DQ's value curve scores reveals a clear prioritization hierarchy. Two attributes were classified as Must-Have: drive-thru convenience, which aligns with DQ's existing infrastructure, and ice cream customization, where DQ scores lowest in the competitive set, making it the highest-priority gap in the analysis. Affordable pricing is the sole Linear attribute, meaning satisfaction scales directly with price accessibility; DQ's ceiling-level score here is a key competitive lever that must be protected. Five attributes were classified as Delighters, with DQ already performing strongly across flavor variety, non-dairy milk options, loyalty rewards, and trend-forward flavors.

Certification credibility is the only So-What attribute, confirming it is a lower strategic priority despite stronger performance from premium competitors.

Taken together, the two analyses point to four clear implications:

- **Close the customization gap.** The only Must-Have at which DQ underperforms; modular topping options or mix-in add-ons would address a baseline expectation no other investment can offset.
- **Protect the price position.** Affordable pricing is DQ's most sensitive performance lever. Any upward movement in the non-dairy line carries a directly proportional satisfaction cost.
- **Activate the Delighter portfolio.** DQ leads on flavor variety, non-dairy milk range, trend-forward options, and loyalty. Marketing investment here yields outsized returns because these features exceed consumer expectations rather than merely meeting them.
- **Deprioritize broad certification.** With certification classified as So-What, third-party credentials do not appear to be a primary market entry driver within this sample. A targeted sub-segment play may be warranted but should not compete for resources with customization or flavor innovation.

The analysis suggests DQ's optimal competitive position is not premium imitation, but affordable differentiation supported by high-performing Delighter attributes.

Recommendations (Haydar)

Raise

Affordable Pricing, Linear Attribute (L)

Affordable pricing is the only linear element of the Kano model where the level of performance will directly correlate to the consumers' overall satisfaction. In other words, if you continue to hold or raise your positioning with regards to pricing, every dollar saved by consumers will equal a dollar added to their perception. Dairy Queen has positioned itself above Quick Service (ceiling of 4) and well above Premium Shop (ceiling of 2) on affordability pricing. Therefore, continuing to maintain the current pricing structure for the non-dairy product line at or near the medium priced level (\$4.99) referenced in the Kano Study is recommended so as to maintain the "affordable" positioning relative to Premium Shop. The value curves illustrate the significant advantage DQ has in this area over the Premium Shop archetype, and this advantage should be reflected in the launch of the non-dairy product line.

Ice Cream Customization, Must-Have Attribute (M)

Customizing your ice cream is considered a "Must-Have" (the largest competitive gap for DQ) and is also where DQ is most behind consumers' expectations (it has a score of 1 in customizations versus Quick Service with a score of 4). A Kano Analysis showed that three of five respondents characterized customization as a Must-Have and therefore if it was missing from their experience, they would have been actively dissatisfied by whatever else DQ did or did not do. DQ must make an investment in getting customization to at least the same level as quick service in order to close this foundationally critical gap via modular topping capabilities, mix-ins, and additional syrups. At this point, eliminating the gap isn't about competing for market share - it's simply about closing the gap. After achieving

parity, each subsequent dollar invested in increasing customization choices will produce less than proportional gains and those funds can then be used for investments in Delighters.

Customization expansion should be balanced against operational efficiency and drive-thru service speed to preserve DQ's core quick-service advantage.

Reduce

High Convenience + Drive-Thru Access, Must-Have Attribute (M)

In addition, high convenience + drive-thru access are also classified as must-haves. At present, DQ achieves a 4 on this attribute and, therefore, DQ is extremely near the Quick Service standard of 5. Because must-have features will allow customers to avoid feeling disappointed as long as these requirements are satisfied and these types of features do not offer any satisfaction upside once they have exceeded the baseline, there is no need for DQ to continue making investments above those needed to sustain its current drive-thru access. With respect to high levels of convenience, although DQ is already positioned competitively relative to Premium Shop (score 2), there is little value added by continuing to invest in improving convenience. All resources diverted away from high levels of convenience should be used to address the opportunity gap in customizing ice cream and to develop Delighters.

Eliminate

Certification Credibility, So-What Attribute (S)

Certification Credibility is the only attribute classified as So-What, with three out of five surveyed respondents indifferent to its presence or absence. DQ currently scores a 0 on Certification Credibility, while Premium Shop scores a 4 and Quick Service scores a 2. Since So-What attributes do not impact customers' level of satisfaction either positively or negatively, pursuing recognizable third-party certifications such as Certified Vegan or Certified Organic for the non-dairy products will result in a low return on investment. It is suggested that certification be removed from the initial launch investment plan entirely. Removing certification from the product development process allows DQ to focus its resources on higher ROI areas identified within this analysis. Furthermore, DQ does not incur any competitive disadvantage due to this position given that certification simply is not a satisfaction driver for the target segment.

Create

New Delighter Attributes (D)

DQ currently holds the best or tied performance across all five Delighter attributes: Social Cause Alignment (4), Flavor Variety (5), Trend-Forward Flavors (4), Non-Dairy Milk Variety (5), and Loyalty Program (5). Delighter attributes produce significantly higher levels of consumer satisfaction when present but have no negative impact when absent, making them the most effective differentiation lever available. DQ should develop its Delighter portfolio by introducing a rotating limited-time flavor series based upon cultural trends (Ube, Matcha, Mango Chili) exclusively within the non-dairy line.

Additionally, DQ should create a sub-Loyalty Program within DQ Rewards specifically for purchases made from the non-dairy product line, offering points multiplier awards and early access to flavors. As long as DQ continues to expand its Delighter portfolio, it will be able to establish a unique position in the non-dairy segment that neither the Quick Service nor Premium Shop archetypes can replicate under their current pricing constraints.

Methods (Ani)

Tool Overview

The value curve is a strategic diagnostic tool drawn from the Blue Ocean Strategy framework. Rather than evaluating a brand in isolation, it maps relative performance across a shared set of competitive factors to reveal where a brand over-invests, under-invests, or holds a genuinely differentiated position. For Dairy Queen, the tool is particularly well-suited because the strategic question is not whether a single product attribute performs well in absolute terms, but how DQ's total value proposition compares across two structurally different competitive archetypes as it considers entering the non-dairy segment. The Kano Model was applied as a second layer of analysis to classify each factor by its relationship to consumer satisfaction, providing a principled basis for deciding which attributes to raise, reduce, create, or eliminate in the new value curve.

Step 1: Establish the Market Status Quo

The first step required identifying the two most prevalent forms of competition in the frozen dessert market and selecting the factors of competition most relevant across both. Two archetypes were chosen: quick-service ice cream chains, which compete primarily on convenience, accessibility, and value pricing, and premium artisan ice cream shops, which compete on quality credentials, ingredient transparency, and experiential differentiation. These two forms represent the primary strategic alternatives a non-dairy consumer would consider alongside Dairy Queen.

Nine competitive factors were then selected to capture the full range of functional, experiential, and values-based attributes relevant to the non-dairy frozen dessert decision. Each factor was operationalized with a clear definition and a corresponding survey question to ensure consistency across respondents. The nine factors are detailed in the Findings section. Each was scored on a 0 to 5 scale reflecting relative performance, with scores assigned based on survey responses and team assessment of each archetype's known positioning. This produced the status quo value curve, a baseline visual of how all three players currently perform across the nine dimensions.

Step 2: Categorize the Factors Using the Kano Model

The second step applied the Kano Model to classify each of the nine factors by how their presence or absence affects consumer satisfaction. The Kano survey used a paired question format: each factor was presented once as a functional question asking how respondents would feel if the feature were

present, and once as a dysfunctional question asking how they would feel if it were absent. Responses were collected on a five-point scale ranging from "I like it that way" to "I dislike it that way."

Five respondents completed the survey, generating paired functional and dysfunctional responses for all nine factors. Classifications were determined using the standard Kano evaluation matrix, which maps each functional-dysfunctional response pair to one of four categories. Linear Satisfiers, where satisfaction scales directly with performance. Must-Haves, where absence drives dissatisfaction but presence yields no additional upside beyond a baseline. Delighters, where presence generates outsized positive reactions but absence causes no dissatisfaction. And So-Whats, where presence or absence has no meaningful effect on satisfaction in either direction. In cases of ties, Delighter was prioritized over So-What, as eliminating a potential differentiator carries greater strategic risk than retaining a neutral attribute.

Step 3: Draw the New Value Curve

The Kano classifications were then used to reconstruct the value curve using four strategic levers. Linear attributes were raised to maximize satisfaction returns given their direct performance-to-satisfaction relationship. Must-Have attributes were brought up to the competitive baseline to prevent dissatisfaction, but investment beyond that threshold was not recommended, given their diminishing returns profile. So-What attributes were eliminated from the investment plan, as they generate no incremental consumer value regardless of performance level. Delighter attributes were identified as the primary areas for differentiation and further investment, as they represent opportunities to exceed consumer expectations in ways competitors cannot easily replicate under their current pricing and positioning constraints.

The output of this step is a redrawn value curve reflecting DQ's recommended competitive posture in the non-dairy segment, alongside the tagline summarizing the new position.

Data and Scope

The analysis is based on five respondents drawn from Millennial and Gen Z consumers in urban U.S. markets, the primary target segment for DQ's non-dairy line. The sample size is intentionally limited in scope, and the findings should be treated as directional rather than statistically generalizable. The value of the analysis lies in its ability to structure and prioritize investment decisions rather than predict market-wide consumer behavior. Larger-scale validation would be appropriate before full market deployment.
